LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Government Receivable Discounting?

A Complete Operational, Legal, and Strategic Treasury Guide to Sovereign Receivables in India

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product

Philosophy of GRD

Government Receivable Discounting (GRD) represents one of the most critical structural credit mechanisms in the Indian financial ecosystem. Every year, federal ministries, state governments, municipal corporations, and Public Sector Undertakings (PSUs) award civil works, engineering procurement, defense equipment fabrication, and software integration contracts worth trillions of rupees to private enterprises. While these contracts are highly secure from a credit perspective, their execution is plagued by severe working capital constraints. Private contractors must fund raw materials, labor payrolls, sub-contractor disbursements, and equipment logistics upfront, whereas sovereign departments operates under highly bureaucratic budget allocations, multi-tiered audit hierarchies, and procedural payment cycles. Consequently, the period between the physical completion of a milestone and the actual realization of cash can extend from 90 to 180 days, inducing severe cash flow bottlenecks.

GRD is a transaction-backed, self-liquidating credit facility designed specifically to monetize this unpaid gap. Unlike traditional asset-backed corporate loans, which underwrite the borrower's historical balance sheet, GRD shifts the primary credit underwriting focus from the contractor (the seller) to the government body or PSU (the obligor). Once a milestone is officially certified, billed, and accepted by the government department, the financier buys the underlying trade receivable, advances immediate liquidity (typically 75% to 85% of the bill value) to the contractor, and subsequently collects the remaining 100% of the funds directly from the government paymaster at usance maturity.

The Sovereign Credit Paradox: High Security, Extended Usance

This product structure leverages the Sovereign Credit Paradox. From a default probability perspective, central and state sovereign departments represent 'zero credit risk.' Unlike private enterprises, a government ministry or state agency cannot easily undergo bankruptcy or complete corporate liquidation. However, while default risk is virtually zero, operational performance risk and liquidity risk (tenure delay) are extremely high. A standard corporate invoice can be easily disputed or canceled, but a government milestone bill is governed by the strict rules of public accounting. Once the Measurement Book (M-Book) is signed by an Executive Engineer or a Project Management Consultant (PMC), the liability is legally admitted by the sovereign, but payment cannot be released until fiscal allocations are cleared. Financiers manage this delay risk by structuring appropriate margin haircuts and charging floating rates pegged to domestic benchmark rates, capturing highly lucrative, risk-adjusted returns.

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Module 2: Structural Taxonomy and Comparative Analysis

To establish a clear understanding of working capital financing in India, it is essential to compare GRD with traditional trade credit products. Since government entities are governed by distinct public administrative laws, their receivables cannot be managed like standard commercial trade debts. The table below outlines the core operational and security parameters that separate GRD from traditional Cash Credit (CC) limits, bilateral invoice factoring, and digital supply chain platforms like TReDS.

Parameter	Government Receivable Discounting (GRD)	Bilateral Invoice Factoring	TReDS Platform Funding
Primary Credit Risk Basis	Sovereign Obligor (Ministry, PSU, Municipal Body) once bill is officially certified.	Private corporate buyer's balance sheet strength.	Onboarded private corporate buyer or specific central PSUs.
Recourse Conditions	With Recourse (if government disputes the bill or delays payment past standard covenants).	Typically Non-Recourse (under classic factoring) or Recourse (SME factoring).	100% Non-Recourse to the MSME supplier once the transaction is accepted.
Buyer Consent Requirements	Mandatory No-Objection Certificate (NOC) and escrow account registration signed by Govt. DDO.	Notice of Assignment (NoA) sent; active consent is preferred but not always mandatory.	Mandatory digital acceptance on exchange (RXIL, M1xchange, Invoicemart).

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Parameter	Government Receivable Discounting (GRD)	Bilateral Invoice Factoring	TReDS Platform Funding
CERSAI & Charge Filing	Mandatory charge registration within 30 days under SARFAESI Act, 2002.	Mandatory registration with CERSAI within 10 days of factoring assignment.	Registered on behalf of the winning financier by the platform automatically.
Disbursal Channels	Direct payout to the contractor's designated Bank Escrow Account under PoA.	Direct disbursement to the seller's active current accounts.	Direct electronic clearing (T+1) to the MSME supplier's bank account.
Indicative Usance & Tenure	90 to 180 days (with structural extensions up to 270 days for administrative delays).	30 to 90 days (standard commercial payment usance).	45 to 120 days (strictly governed by MSMED Act statutory limits).
Repayment Source	Sovereign treasury payout swept directly into the bank's escrow account via PoA.	Direct corporate bank transfer from the buyer to the factor.	Automated clearing sweep from the buyer's account on usance maturity.

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Module 3: The End-to-End Operational Lifecycle

The execution of a Government Receivable Discounting transaction is a highly structured process designed to mitigate operational and performance leakage. Because the underlying obligor is a government entity, the lifecycle must conform strictly to public accounting rules. The transaction flows across five distinct chronological phases:

Phase 1: Contract Award and Escrow Mechanism Setup

Upon securing a government contract, the private contractor executes a formal project contract. Before any invoice is discounted, the contractor, the financing bank, and the Government Department's Drawing and Disbursing Officer (DDO) or Senior Accounts Officer must establish a designated Tripartite Escrow Account. The contractor executes an irrevocable Power of Attorney (PoA) in favor of the financing bank. This legal mandate instructs the government department's paymaster to route all future progressive payments, milestone disbursements, and final contract payouts directly into the designated escrow account, fully bypassing the contractor's primary current accounts.

Phase 2: Milestone Verification and Bill Certification

The contractor physically executes the agreed work milestone (e.g., laying 10 kilometers of national highway, installing a defense software patch, or erecting transmission towers). An independent Project Management Consultant (PMC) or Government Executive Engineer inspects the site and certifies the physical completion by signing the Measurement Book (M-Book). Based on the M-Book entries, the contractor generates a progressive milestone bill and uploads it to the GST Network (GSTN) to generate an official e-invoice. The certified bill is then officially submitted to the department's paymaster for final acceptance.

Phase 3: Bank Submission, Verification, and Drawdown

The contractor submits the certified milestone bill, signed M-Book pages, the GST-validated e-invoice, and the official No-Objection Certificate (NOC) to the financing bank. The bank's credit operations desk cross-verifies the document trail, checks the budget allocation status of the department, and approves the drawdown. The bank applies a safety margin haircut (typically 15% to 25% based on contract complexity) and disburses the net advanced principal (75% to 85%) directly to the contractor's working capital account, allowing the contractor to fund immediate raw materials and payroll.

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Phase 4: Sovereign Processing and Milestone Maturation

The certified bill enters the government's standard administrative treasury processing queue. During this usance period (typically 90 to 180 days), the government department's audit team reviews the milestone, cross-checks budget line clearances, and processes the final pay voucher. Any minor disputes, liquidating damages, or penalty deductions are calculated during this phase.

Phase 5: Escrow Collection Sweep and Margin Release

On the payment date, the government department's paymaster remits the full 100% bill amount directly to the designated Bank Escrow Account via NEFT/RTGS. The bank's automated treasury system identifies the remittance, sweeps the funds to fully retire the outstanding discounted advanced principal plus accumulated interest accrued during the usance period, and credits the remaining surplus balance (representing the 15% to 25% margin reserve, minus any processing fees and interest) back to the contractor's primary operational current accounts.

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Module 4: Transactional Credit Underwriting & Risk Metrics

Lending to government contractors requires a specialized transactional underwriting paradigm. Traditional corporate lending focuses heavily on historical balance sheets, static debt-equity ratios, and real estate collateral. However, government contractors are often asset-light and highly leveraged, which would typically disqualify them under standard corporate lending models. GRD resolves this by focusing on transactional credit analytics and structured risk controls.

Underwriting Standards and Ratio Matrices

Financiers apply a multi-layered appraisal matrix that evaluates both the borrower (the contractor) and the obligor (the government department). Below is the audited standard commercial underwriting benchmark table applied by Indian public and private sector banks for approving GRD lines:

Underwriting Metric	Standard Benchmark	Risk Management & Mitigation Strategy
Promoter Personal CIBIL Score	Minimum 700 (or CIBIL MSME Rank CMR 1 to 4)	Ensures credit discipline and prevents diversion of funds from escrow.
Current Ratio (CR)	Minimum 1.25:1 to 1.33:1 (under Tandon Committee MPBF Second Method)	Guarantees that the contractor has sufficient short-term liquid assets to support operational activities.
Interest Coverage Ratio (ICR)	Minimum 1.85x to 2.0x	Verifies that operational cash flows can easily support the finance charges on outstanding trade lines.
Short-Term Debt Service Coverage Ratio (DSCR)	Minimum 1.25x	Ensures total transaction-backed revenues can comfortably cover principal and interest tranches.

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Underwriting Metric	Standard Benchmark	Risk Management & Mitigation Strategy
Historical Invoice Dilution Rate	Strictly below 2.50% over prior 3 fiscal years	Monitors the rate of work rejection, penalties, or deduction of liquidated damages by government engineers.
Government Department Paymaster Rating	Classified under Tier-1 (Central Govt/NHAI/Defense) or Tier-2 (State departments/Municipalities)	Adjusts margin haircuts and pricing. Tier-2 obligors attract higher margin margins (25% vs 15% for Tier-1).

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Module 5: Watertight Legal Security and Charge Creation

The security framework of a Government Receivable Discounting facility is structured to establish absolute legal priority for the financier. Since sovereign departments are immune from standard commercial foreclosure or liquidation under public administration acts, the legal instruments must be absolute, binding, and contractually airtight under Indian commercial laws.

Legal Assignment Under Section 130 of the Transfer of Property Act, 1882

The primary legal foundation of GRD lies in the assignment of 'actionable claims.' Under Section 130 of the Transfer of Property Act, 1882, a trade receivable (book debt) represents an actionable claim. The contractor (as the assignor) executes a formal registered Deed of Assignment in favor of the financing bank (the assignee). This deed transfers all legal rights, title, interest, and ownership of the specified milestone billings and receivables from the contractor to the bank. Once the government department receives the official Notice of Assignment (NoA) and registers the bank's interest, the government paymaster is legally bound to remit the funds only to the assignee bank. Any payment made to the contractor after registration does not constitute a valid legal discharge of the debt.

The Tripartite Escrow and Power of Attorney (PoA) Mechanism

To operationalize the Deed of Assignment, the contractor, the bank, and the government department register a Tripartite Escrow Agreement. This agreement is supported by an Irrevocable Power of Attorney (PoA) executed by the contractor and officially accepted by the government department's Drawing and Disbursing Officer (DDO). The PoA grants the bank the legal authority to sign bills, receive pay vouchers, and manage the escrow flows on behalf of the contractor. The government department is legally bound by the DDO's signature to route payments only to the bank's escrow. Under Indian banking norms, this setup prevents fund diversion and guarantees that the cash flows from the government paymaster are swept directly to repay the credit line.

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CERSAI Charge Registration Under SARFAESI Act, 2002

To prevent duplicate invoicing fraud or multiple pledging of the same government milestone, the financier must register its security interest on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal. Under the provisions of the SARFAESI Act, 2002, and the Factoring Regulation Act, 2011, the financing bank is legally required to register a charge over the assigned trade receivables within 30 days of executing the assignment. Under the Factoring Regulation (Amendment) Act, 2021, this registration window is strictly reduced to 10 days for active factoring companies. Recording the charge on CERSAI establishes absolute legal seniority for the bank, shielding the receivables from claims by other creditors or liquidators.

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Module 6: Sectoral Sizing, Target Industries and Ecosystem Alignment

Government Receivable Discounting is most effective in capital-intensive sectors where the government acts as the primary buyer. Understanding the scale of these target sectors is critical for credit underwriting. According to SIDBI's MSME Pulse data, retail and wholesale trade, civil construction, and engineering manufacturing represent the largest segments of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This underscores the massive demand for transaction-backed supply chain and trade credit programs.

Sectors Best Suited for GRD in India

The following sectors are highly aligned with GRD structures due to their clear project milestones, standardized billing frameworks, and heavy sovereign participation:

1. Infrastructure and Civil Construction (National Highways, Railway Corridors)

Civil contractors working under the National Highways Authority of India (NHAI), Central Public Works Department (CPWD), or state public works departments (PWD) require massive, continuous cash flows. These projects are governed by rigid, milestone-based engineering certifications, making them prime targets for GRD structures.

2. Defense Equipment and Strategic Manufacturing

Private defense suppliers manufacturing ammunition components, aerospace assemblies, or tactical electronics for the Ministry of Defence (MoD) face complex, multi-year delivery timelines. Milestone billing, upon successful quality testing, allows these suppliers to unlock liquidity and fund ongoing production runs.

3. Public Sector Telecommunications and Smart City Initiatives

System integrators and fiber optic manufacturers executing BharatNet rural broadband or municipal smart city surveillance contracts face prolonged testing and commissioning phases. GRD monetizes progressive supply invoices, helping contractors avoid severe cash flow blockages.

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SBI e-DFS and Electronic Supply Chain Scale

To put the scale of trade financing in perspective, India's largest lender, the State Bank of India (SBI), operates massive digital supply chain programs. Under its electronic Dealer Financing Scheme (e-DFS), SBI manages an active credit exposure exceeding ₹49,261 Crores. Similarly, under its electronic Vendor Financing Scheme (e-VFS), SBI supports supplier payments worth over ₹28,092 Crores. This robust digital infrastructure proves that flow-based supply chain and transaction credit models have become the dominant growth engine for working capital in Indian banking.

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Module 7: Commercial Pricing Mechanics and Financial Models

The pricing of a Government Receivable Discounting facility is structured to reflect the unique risk profile of sovereign transactions. Unlike unsecured corporate loans, which charge static, high interest rates, GRD features dynamic, floating rates pegged to the bank's external benchmark lending rate (EBLR) or marginal cost of funds-based lending rate (MCLR) plus an underwritten credit spread.

Key Pricing Components

The pricing model of a GRD facility consists of three primary commercial components:

1. Benchmark Interest Rate: Floating rates typically pegged to EBLR (Repo-linked) or MCLR, plus an underwritten corporate credit spread ranging from 150 bps to 350 bps based on the contractor's CIBIL MSME Rank and the rating of the government department paymaster.

2. Upfront Processing Fee: A nominal upfront management fee (typically 0.25% to 1.00% of the sanctioned credit line) charged to cover the cost of legal due diligence, tripartite escrow setup, and CERSAI charge filings.

3. Daily Reducing Balance Interest: The interest is calculated daily and applied strictly to the utilized principal balance, rather than the total sanctioned limit. This ensures the contractor only pays interest for the exact number of days the funds are outstanding before the sovereign paymaster remits to the escrow account.

GST Treatment of Trade Finance

Under Indian GST guidelines, the tax treatment of financial transactions is clearly defined. The core interest component and discounting charges of a trade finance loan are completely exempt from GST. However, all ancillary service charges, processing fees, documentation fees, legal verification fees, and physical warehouse rental costs attract a standard 18% GST. This GST represents a fully recoverable Input Tax Credit (ITC) for the borrowing company, allowing contractors to offset their output GST liability.

The Corporate Interest Tax Shield

The net cost of a GRD facility is further minimized by the Corporate Interest Tax Shield. Under Section 36(1)(iii) of the Income Tax Act, 1961, all interest expenses incurred on working capital and trade lines are treated as fully deductible business expenses. Consequently, for an Indian corporate contractor operating under the standard

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corporate tax rate of 25.17% (inclusive of surcharge and cess), the effective post-tax cost of borrowing is significantly lower than the nominal rate:

Effective Post-Tax Rate = Nominal Rate × (1 - Corporate Tax Rate)

For example, a nominal lending rate of 9.50% p.a. results in a highly competitive post-tax borrowing rate of 7.11% p.a., highlighting the structural cost efficiency of the GRD framework.

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Module 8: Regulatory Compliance and Technical Defaults

Operating trade credit lines in India requires strict adherence to the regulatory directives of the Reserve Bank of India (RBI). Both lenders and borrowers must maintain compliance with asset classification guidelines, digital lending rules, and banking current account opening restrictions to prevent technical defaults or sudden line freezes.

RBI IRACP Guidelines and 'Out of Order' NPA Triggers

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, revolving credit lines (such as Cash Credit, Overdrafts, or GRD lines) are classified as Non-Performing Assets (NPAs) if they are deemed 'out of order.' An account is classified as 'out of order' if:

1. The outstanding balance remains continuously in excess of the sanctioned credit limit or drawing power (DP) for 90 days.
2. Or, if there are no credits in the account for 90 days, or the total credits received in the account during the prior 90-day window are insufficient to cover the interest debited during the same period.

To manage credit risk proactively, lenders categorize accounts under Special Mention Account (SMA) stages the moment payments are delayed:

- **SMA-0:** Principal or interest payment delayed from 1 to 30 days.
- **SMA-1:** Principal or interest payment delayed from 31 to 60 days.
- **SMA-2:** Principal or interest payment delayed from 61 to 90 days.

The 180-Day Technical NPA Trigger

An account can also be classified as a technical NPA due to administrative compliance failures. Under the RBI guidelines, a credit line must be formally reviewed and renewed at least once every 12 months. If the renewal is not completed within 180 days from its original expiry date, the entire account is automatically classified as an NPA, regardless of its financial health. Similarly, contractors must submit certified stock and debtor statements every month. If a contractor fails to submit these statements for 180 days, the drawing power is deemed void, and the account is automatically classified as a technical NPA.

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RBI Current Account Opening Guidelines

To prevent credit diversion, the RBI enforces strict current account opening guidelines based on the borrower's total banking system exposure:

• **System Exposure < ₹5 Crore:** Borrowers can open operational current accounts with any bank, with no restrictions.
• **System Exposure ₹5 Crore to ₹50 Crore:** Operational current accounts must be maintained with banks providing CC/OD credit facilities, and other banks are barred from opening current accounts.
• **System Exposure ≥ ₹50 Crore:** The borrower must establish an Escrow Mechanism. All trade revenues and collections must route through this escrow account, which sweeps funds to lenders according to their credit share.

RBI Digital Lending and LSP Covenants

For trade credit lines managed via digital platforms or Lending Service Providers (LSPs), lenders must comply with the RBI Digital Lending Directions. Crucially, any Default Loss Guarantee (DLG) or credit enhancement arranged between the LSP and the bank is capped at a strict maximum of 5.00% of the aggregate credit portfolio balance. This prevents LSPs from taking on under-the-radar systemic credit risks and ensures that banks maintain appropriate credit underwriting discipline.

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Module 9: Comprehensive Real-World Case Study

To illustrate the financial mechanics, escrow sweeps, and treasury advantages of Government Receivable Discounting in India, this module presents a detailed mathematical scenario based on a leading infrastructure contractor.

The Scenario: Mumbai Infra Projects Pvt. Ltd.

Mumbai Infra Projects Pvt. Ltd. (MIPPL) is a medium-sized infrastructure company (with a corporate tax rate of 25.17%) that has been awarded a road expansion contract by the National Highways Authority of India (NHAI) (a Tier-1 sovereign obligor). MIPPL has successfully completed a construction milestone, and the NHAI Executive Engineer has signed the Measurement Book (M-Book) and certified a progressive milestone bill of ₹5,00,00,000 (₹5 Crore, inclusive of GST).

Step 1: Calculating the Approved Drawing Power (DP)

MIPPL submits the NHAI-certified bill, the certified M-Book pages, and an official No-Objection Certificate to its financing bank. The bank applies a 20.00% safety margin haircut to protect against any potential administrative deductions or audit delays. This establishes an approved Drawing Power of 80.00% of the bill value:

- **Certified Milestone Bill Value:** ₹5,00,00,000
- **Safety Margin Haircut (20.00%):** ₹1,00,00,000
- **Net Approved Advanced Principal (80.00%):** ₹4,00,00,000

Step 2: Calculating Upfront Processing Fees and GST

The bank approves the drawdown of the ₹4,00,00,000 advanced principal. The bank charges an upfront processing fee of 0.35% on the advanced amount. Under Indian tax guidelines, the processing fee attracts a standard 18.00% GST, which MIPPL recovers as Input Tax Credit (ITC):

- **Upfront Bank Processing Fee (0.35% of ₹4,00,00,000):** ₹1,40,000
- **Recoverable GST on Processing Fee (18.00%):** ₹25,200
- **Total Upfront Fee Burden (inclusive of GST):** ₹1,65,200

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Step 3: Calculating Day 1 Net Disbursed Payout

On Day 1, the bank deducts the upfront processing fee (inclusive of GST) and disburses the net advanced principal directly into MIPPL's active working capital account:

- **Net Advanced Principal Disbursed:** ₹3,98,34,800
- **Margin Reserve Held in Abeyance:** ₹1,00,00,000

Step 4: Calculating Usance Interest and the Corporate Tax Shield

The milestone bill is governed by a 90-day sovereign usance maturity window. The bank charges a floating interest rate of 9.50% p.a. Pegged to its Repo-Linked EBLR. Under Indian law, the core interest component is completely exempt from GST. Over the 90-day usance period, the accumulated interest is calculated as follows:

- **Cumulative Usance Interest = ₹4,00,00,000 × 9.50% × (90 / 365) =** ₹9,36,986.30
- **Total Outstanding Debt on Day 90 (Principal + Interest):** ₹4,09,36,986.30

Under Section 36(1)(iii) of the Income Tax Act, 1961, the interest expense is a fully deductible business expense. This deduction provides a significant post-tax shield for MIPPL:

- **Interest Tax Shield Benefit (25.17% of ₹9,36,986.30):** ₹2,35,839.45
- **Effective Post-Tax Interest Expense:** ₹7,01,146.85
- **Effective Annualized Financing Rate (Post-Tax):** 7.11% p.a.

Step 5: Milestone Maturity, Escrow Sweep and Margin Release

On Day 90, the NHAI treasury paymaster processes the payment and remits the full 100% bill value directly to the designated Bank Escrow Account. The bank's treasury system sweeps the escrow to retire the outstanding debt and releases the remaining surplus back to MIPPL:

- **Total NHAI Escrow Remittance Received:** ₹5,00,00,000
- **Less Outstandings Retired (₹4,00,00,000 Principal + ₹9,36,986.30 Interest):** -₹4,09,36,986.30
- **Net Margin Surplus Released to MIPPL Current Account:** ₹90,63,013.70

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Strategic Treasury Analysis: The Cost of Delay

To demonstrate the financial resilience of the GRD structure, consider a scenario where the government payment is delayed by an additional 30 days due to administrative audit hold-ups, pushing the total usance period to 120 days. Since the facility is priced on a daily reducing balance basis, the interest expense continues to accrue on the utilized principal. The updated financial metrics are as follows:

- **Cumulative 120-Day Interest = ₹4,00,00,000 × 9.50% × (120 / 365) =** ₹12,49,315.07
- **Total Outstanding Debt on Day 120 (Principal + Interest):** ₹4,12,49,315.07
- **Net Margin Surplus Released to MIPPL Current Account (Day 120):** ₹87,50,684.93
- **Post-Tax Shield Benefit (25.17% of ₹12,49,315.07):** ₹3,14,452.60
- **Effective Post-Tax Interest Expense (120 Days):** ₹9,34,862.47

Despite the 30-day delay, the structured margin buffer (₹1 Crore held in abeyance) easily absorbed the additional interest, protecting the bank's exposure and ensuring that MIPPL's primary current accounts remained completely unimpacted. This demonstrates the operational efficiency and safety of the Government Receivable Discounting structure.

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Module 10: 10-Question Certification Practice Examination

This certification examination is designed to test your understanding of the operational, legal, commercial, and regulatory principles of Government Receivable Discounting in India. Read each scenario-based question carefully and select the single best answer. Detailed rationales are provided at the end of the module.

Module 10.1: Question 1 (The Legal Basis of Assignment)

A civil contractor wishes to legally assign their NHAI milestone billings to a commercial financing bank. Under which statutory provision is the assignment of trade receivables as 'actionable claims' executed under Indian law?
A) Section 172 of the Indian Contract Act, 1872
B) Section 130 of the Transfer of Property Act, 1882
C) Section 45 of the SARFAESI Act, 2002
D) Section 22 of the Factoring Regulation Act, 2011

★ **Correct Option:** B

★ **Rationale & Analysis:**
Under Indian law, a trade receivable (book debt) represents an actionable claim. The transfer and legal assignment of actionable claims are strictly governed and executed under Section 130 of the Transfer of Property Act, 1882. A Deed of Assignment executed under this provision legally transfers all rights, title, and interest from the assignor (the contractor) to the assignee (the bank).

Module 10.2: Question 2 (CERSAI Registration Timelines)

Under the provisions of the Factoring Regulation (Amendment) Act, 2021, what is the maximum statutory period allowed for an active factoring company to register an assignment of receivables on the CERSAI portal?
A) Within 30 days from the date of executing the assignment.
B) Within 10 days from the date of executing the assignment.
C) Within 45 days from the date of executing the assignment.
D) CERSAI registration is optional for government-backed receivables.

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★ **Correct Option:** B

★ **Rationale & Analysis:**
The Factoring Regulation (Amendment) Act, 2021, significantly accelerated CERSAI charge registration timelines. To eliminate duplicate invoice pledging and enhance transaction security, all factoring transactions must be registered on the CERSAI portal within 10 days of executing the assignment (down from the legacy 30-day window under the 2011 Act).

Module 10.3: Question 3 (GST Treatment of Trade Interest)

During a progressive Government Receivable Discounting transaction, how are the core usance interest and upfront processing fees treated under Indian GST guidelines?
A) Both interest and processing fees are subject to 18% GST.
B) Core interest is subject to 18% GST, while processing fees are completely exempt.
C) Core interest is completely exempt from GST, while upfront processing and documentation fees attract a standard 18% GST.
D) Core interest is subject to 5% GST, while processing fees attract a 12% GST.

★ **Correct Option:** C

★ **Rationale & Analysis:**
Under Indian GST guidelines, the tax treatment of financial transactions is clearly defined. The core interest component and discounting charges of a trade finance loan are completely exempt from GST. However, all ancillary service charges, processing fees, and documentation fees attract a standard 18% GST, which qualifies as fully recoverable Input Tax Credit (ITC).

Module 10.4: Question 4 (The 180-Day Technical NPA Trigger)

An infrastructure contractor has an active, financially healthy ₹5 Crore Government Receivable credit line with SBI. However, due to administrative delays, the contractor has failed to submit their monthly debtor and stock statements for 180 days. What is the regulatory impact of this delay under RBI guidelines?
A) The credit line is automatically extended for an additional 90 days with no impact.
B) The bank applies a 2% penal interest rate, but the account remains standard.

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C) The drawing power is deemed void, and the account is automatically classified as a technical NPA.
D) The account is placed under SMA-0 classification indefinitely.

★ **Correct Option:** C

★ **Rationale & Analysis:**
Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, contractors are required to submit monthly stock and debtor statements. If a borrower fails to submit these statements for a continuous period of 180 days, the drawing power is deemed void, and the entire credit line is automatically classified as a technical NPA.

Module 10.5: Question 5 (The Nayak Committee PTM Method Limit)

Under the Nayak Committee Projected Turnover Method (PTM), what is the maximum credit limit threshold up to which banks can assess working capital credit limits strictly at a minimum of 20% of projected annual turnover?
A) For credit limits up to ₹2 Crores.
B) For credit limits up to ₹5 Crores.
C) For credit limits up to ₹10 Crores.
D) There is no limit under the Nayak Committee guidelines.

★ **Correct Option:** B

★ **Rationale & Analysis:**
The Nayak Committee Projected Turnover Method (PTM) was introduced to simplify credit appraisal for SMEs. Under this method, banks can assess working capital credit limits strictly at a minimum of 20% of projected annual turnover for credit limits up to ₹5 Crores, with a mandatory 5% promoter equity contribution.

Module 10.6: Question 6 (Tandon Second Method Current Ratio)

Under the Tandon Committee Second Method of Lending, what is the mandatory minimum Current Ratio benchmark that a corporate borrower must maintain during credit appraisal?

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A) Minimum 1.00:1
B) Minimum 1.15:1
C) Minimum 1.33:1
D) Minimum 1.50:1

★ **Correct Option:** C

★ **Rationale & Analysis:**
The Tandon Committee Second Method of Lending is a cornerstone of corporate credit appraisal in India. It requires the borrowing company to contribute at least 25% of its Total Current Assets (TCA) as promoter equity, ensuring that the company maintains a minimum Current Ratio of 1.33:1.

Module 10.7: Question 7 (RBI Current Account Guidelines)

An engineering contractor has total credit exposure of ₹35 Crores across the Indian banking system. Under the RBI's current account opening guidelines, what are the restrictions on current account maintenance for this borrower?
A) The borrower can open operational current accounts with any bank with no restrictions.
B) The borrower must maintain current accounts strictly with banks providing active CC/OD credit facilities, and other banks are barred from opening current accounts.
C) The borrower must establish an Escrow Mechanism, and all collections must route through this escrow.
D) The borrower is barred from maintaining any current accounts and must operate strictly through cash.

★ **Correct Option:** B

★ **Rationale & Analysis:**
To prevent credit diversion, the RBI enforces strict current account guidelines. For borrowers with total banking system exposure between ₹5 Crore and ₹50 Crore, current accounts must be maintained strictly with banks providing active CC/OD credit facilities. Other banks are barred from opening current accounts for these borrowers.

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Module 10.8: Question 8 (Tax Shield Mathematics)

A corporate contractor incurs a nominal annual interest expense of 9.50% on a discounted trade line. If the company operates under the standard corporate tax rate of 25.17%, what is the effective post-tax borrowing cost under Section 36(1)(iii) of the Income Tax Act, 1961?
A) 9.50% p.a.
B) 7.11% p.a.
C) 6.25% p.a.
D) 5.11% p.a.

★ **Correct Option:** B

★ **Rationale & Analysis:**
Under Section 36(1)(iii) of the Income Tax Act, 1961, interest expenses incurred on working capital lines are treated as fully deductible business expenses. The effective post-tax borrowing cost is calculated as: 9.50% × (1 - 0.2517) = 7.11% p.a., representing significant tax savings.

Module 10.9: Question 9 (The RBI 'Out of Order' NPA Trigger)

Under the RBI's IRACP guidelines, a revolving Government Receivable credit line is classified as a Non-Performing Asset (NPA) if it is deemed 'out of order.' Which of the following conditions triggers an 'out of order' status?
A) The outstanding balance remains continuously in excess of the sanctioned credit limit or drawing power for 90 days.
B) No credit statements are submitted for 30 consecutive days.
C) The promoter's CIBIL score falls below 600 during the usance period.
D) The contractor switches their GSTN portal service provider.

★ **Correct Option:** A

★ **Rationale & Analysis:**
Under the RBI's IRACP guidelines, a revolving credit line (such as CC, OD, or GRD lines) is classified as 'out of order' and subsequently triggers NPA status if the outstanding balance remains continuously in excess of the sanctioned credit limit or drawing power (DP) for 90 days.

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Module 10.10: Question 10 (RBI Digital Lending LSP DLG Cap)

Under the RBI's Digital Lending Directions, what is the maximum permissible Default Loss Guarantee (DLG) cap that a Lending Service Provider (LSP) can provide to a financing bank?
A) Capped at a maximum of 2.0% of the aggregate credit portfolio balance.
B) Capped at a maximum of 5.0% of the aggregate credit portfolio balance.
C) Capped at a maximum of 10.0% of the aggregate credit portfolio balance.
D) DLG arrangements are completely prohibited for digital supply chain portfolios.

★ **Correct Option:** B

★ **Rationale & Analysis:**
To prevent systemic under-the-radar credit risk transfer, the RBI's Digital Lending Directions cap the maximum Default Loss Guarantee (DLG) or credit enhancement arrangement between a Lending Service Provider (LSP) and a financing bank at a strict maximum of 5.00% of the aggregate credit portfolio balance.

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